

Deductible Selection and Application Reference

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Audience: Underwriting and claims adjusters

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This reference consolidates deductible rules that are otherwise scattered across individual coverage-part discussions throughout this corpus, for quick lookup during adjudication.

1. Deductibles Are Selected Per Coverage Part, Per Vehicle

A policyholder selects separate deductibles for Part D (Collision) and Part C (Other Than Collision) for each covered auto individually, shown on the Declarations page; these are not required to match each other or to match the deductibles on another vehicle on the same multi-vehicle policy (Multi-Vehicle Policy and Household Structure Guide, Section 1).

2. Deductible Application Order

Where a payout computation involves both a deductible and a coverage limit, the coverage limit is applied as a ceiling on the estimated damage first, and the deductible is then subtracted from that capped figure — not the other way around, per the formula in the Claims Adjudication Guidelines, Step 4 ($\text{payout} = \min(\text{estimated_damage}, \text{applicable_limit}) - \text{applicable_deductible}$). The deterministic calculation service applies this order consistently across every coverage part in this corpus, and the order is stated explicitly here because reversing it can produce a materially different, incorrect result on a loss that exceeds the limit: capping first means the deductible always reduces the policyholder's own recovery, never the insurer's exposure above the limit.

3. Single Deductible Per Occurrence

Where a single accident triggers costs across multiple repair lines under the same coverage part (for example, several damaged panels under Part D), only one

deductible is applied to the occurrence as a whole, not one deductible per repair line — the deductible is a per-occurrence, per-coverage-part figure.

4. Deductible Waiver Scenarios

A deductible is waived in specific, narrow circumstances stated elsewhere in this corpus: full glass coverage claims (Glass and Windshield Claims Guide, Section 2), and certain repair-only glass claims even without full glass coverage (Section 4 of the same guide) — a deductible waiver is never assumed by default and is applied only where a specific provision states it.

5. Deductible on a Total Loss

The applicable deductible is subtracted once from the Actual Cash Value figure to reach the total loss settlement (Total Loss Valuation Methodology), and again subtracted where an owner-retention salvage settlement is computed (Salvage and Total Loss Vehicle Disposition Guide, Section 4) — the deductible is not subtracted twice in that scenario; the owner-retention formula already accounts for it once as part of the single settlement computation.

6. Deductible Increase or Decrease Mid-Term

A policyholder-requested deductible change mid-term takes effect on the endorsement's stated effective date, following the same Policy Form version rules as any other mid-term change (Multi-Vehicle Policy and Household Structure Guide, Section 6); a loss occurring before that effective date is adjudicated using the deductible in force at the time of loss, not the newly requested one.

7. Recovery of the Deductible Through Subrogation

Where Meridian Mutual recovers funds from an at-fault third party through subrogation (Subrogation and Recovery Guide), the policyholder's own out-of-pocket deductible is reimbursed from the recovery proportionally before Meridian Mutual retains any recovery for its own paid claim amount, consistent with the make-whole principle referenced in the Subrogation and Recovery Guide.

8. Documentation Standard

Every payout computation citation in a claim file states the specific deductible amount used, its source (the Declarations page line for the specific vehicle and coverage part), and confirms it is the deductible in force as of the date of loss (Section 6) — a payout figure without this citation trail does not meet the documentation standard used throughout this corpus.